Franklin Templeton (NYSE: BEN)

Financial Services Coverage
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Initiating Coverage of BEN at Market Outperform and $32.85 Target Price

OUTLOOK

We are initiating coverage of Franklin Resources Inc. (BEN) with a focus on the firm's positioning within the evolving global asset management landscape. Franklin Templeton manages approximately $1.6 trillion in AUM across equity, fixed income, alternatives, multi-asset solutions, and a growing ETF platform. The firm's strategic pivot toward alternatives, active ETFs, and multi-asset solutions aligns with structural industry trends favoring higher-fee specialties and outcome-oriented mandates. However, persistent fee compression, passive share gains, and concentrated net outflows at Western Asset Management remain headwinds. The company's acquisition-led growth strategy (Putnam, Lexington, Alcentra) has broadened capabilities but introduces integration complexity.

KEY POINTS

ETF Franchise as a Growth Engine - Franklin Templeton's ETF AUM reached $58.0B at end of year 2025, up 18.2% YoY, supported by $7.5B of net inflows in its 17th consecutive positive quarter. Notably, active ETF inflows represented 75% of total ETF flows, signaling that growth is being driven by higher-value active offerings rather than low-fee beta products. This trajectory aligns with the broader industry shift toward active ETFs as preferred vehicles for tax efficiency and liquidity.

Alternatives Scaling Amid Structural Tailwinds - The alternatives division manages $276.2B in AUM (up 10.5% since January 2025), representing 16.2% of the portfolio, a meaningfully higher allocation than peers like BlackRock. Franklin Templeton's specialist managers (Clarion Partners, Lexington Partners, Benefit Street Partners) position it to capture demand in private credit, real estate, and secondaries as institutional and wealth clients seek differentiated return streams.

Fee Compression and Western Asset Headwinds - Fixed income AUM declined from $469.5B to $437.0B over 2025, driven in part by $7B of long-term net outflows at Western Asset Management. Industry-wide, fee pressure and the shift to lower-cost vehicles continue to weigh on headline revenue growth. In 2024, product mix shift and fee compression offset roughly half of the revenue gains from market performance and net flows at the industry level.

Global Diversification Through Subsidiary Model - Franklin Templeton operates 56 active subsidiaries globally, with 27.1% in Europe and 16.9% in Asia-Pacific, which is a more internationally diversified footprint than many peers. This model provides direct operational control of international markets and positions the firm to capture growth outside North America as non-US AUM pools continue to scale.

Market Outperform
Target Price $32.85

Suitability	Moderate Risk/Growth

MARKET DATA

Current Price	$27.27
52-Week Range	$17.16-$28.32
Market Cap	$14,201.22
Enterprise Value	$25.818.50
Current Net Debt	$866.50
EPS	$1.92
Beta	1.10

KEY FINANCIAL METRICS

	2024A	2025A	2026E
Revenue	$8,478	$8,771	$8,992
% Growth	*8.00%*	*3.50%*	*2.52%*
Net Income	$464.8	$524.9	$1,364
% Growth	*5.50%*	*6.00%*	*15.17%*
EBITDA	$1,688	$1,701	$2,401
% Growth	*19.90%*	*19.40%*	*26.70%*
FCF	$784.8	$892.6	$1,060
% Change	*(34.09)%*	*112.7%*	*(61.5)%*

KEY MULTIPLES

VALUATION	
P/E	25.37x
EV/Sales	2.74x
P/TBV	7.06x
P/CF	11.43x
LIQUIDITY	
Current Ratio	5.6x
Cash Ratio	2.19x
Quick Ratio	1.3x
LEVERAGE	
Debt/Assets	41.09%
Debt/Equity	110.12%
Net Debt/EBITDA	5.24x
EFFICIENCY	
Total Asset Turnover	0.27x
Return on Equity	3.84%

*Source(s): FactSet, *name of company* Filings*
All figures in millions of $USD except per share values.

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Company Overview

BUSINESS MODEL

Franklin Templeton is a global investment management organization providing a large range of investment management and related services in retail, institutional, and high-net-worth clients across multiple jurisdictions. The firm operates through a single operating segment focused on investment management related services, delivered through a diverse multi-manager platform of specialist investment teams. The company offers products across equity, fixed income, multi-asset, and alternative strategies through mutual funds, ETFs, separate accounts, and other investment structures. The firm also provides sub-advisory services to third-party sponsored investment products.

Franklin Templeton generates revenue mainly through asset-based investment management fees, as well as performance-based incentive fees. On top of this, they generate revenue through services such as fund administration, distribution, and shareholding servicing. Through its global scale, specialized investment expertise, and diversified product offerings, Franklin Templeton seeks to deliver consistent outcomes for clients in an increasingly complex global investment environment.

HISTORICAL BACKGROUND

Franklin Resources Inc, operating as Franklin Templeton, was founded in 1947 by Rupert H. Johnson Sr. in New York City. Originally established as Franklin Distributors Inc, the firm was named after Benjamin Franklin. Since its founding, Franklin Templeton has expanded into a global leading investment management firm through growth and acquisitions. In 1992 they acquired the Templeton global investment firm and have continued to expand their investment capabilities through acquisitions including the Franklin Mutual Series, Bisset Funds, Fiduciary Investment International, Benefit Street Partners, and Legg Mason. More recent acquisitions of Lexington Partners, Alcentra, and Putnam Investments have strengthened Franklin Templeton's presence in alternatives, private markets, and global asset management. As of September 30, 2025, the firm has managed over 1.6 trillion dollars in assets under management for clients worldwide.

Business Segments

PUBLIC MARKETS

Fixed Income - The Fixed Income segment of Franklin Templeton focuses on delivering active and outcome-oriented bond strategies across core/core-plus, credit, unconstrained, and specialized mandates for retail and institutional clients. Fixed income is still one of the firm's largest divisions, with $437.0B in fixed income AUM as of December 31, 2025. However, it is down from $469.5B on December 31, 2024, which shows the segment's sensitivity to rate cycle positioning, client reallocations, and product performance. A key factor within fixed income is the Western Asset Management complex (a major fixed income manager within Franklin), where Franklin noted $7B of long-term net outflows at Western in the quarter ended December 31, 2025, partially offset by firmwide long-term inflows elsewhere. Overall, this segment is driven primarily by recurring management fees on AUM, with organic growth tied to relative performance, institutional pipeline conversion, and the durability of demand for active fixed income as rates normalize.

Equities - The Equity segment of Franklin Templeton focuses on active equity strategies across US, global, and regional equities, delivered through mutual funds, ETFs, SMAs, and institutional mandates. Equity is Franklin's largest public markets asset class by AUM, with a total of $696.7B on December 31, 2025. It is up from $620.0B on

December 31, 2024, benefiting from market appreciation and improved momentum. In the last quarter, Franklin reported $28.0B of long-term net inflows at the firm level, noting strong contribution from its ETF franchise and improving multiyear performance versus peers and benchmarks across a large portion of mutual fund and composite AUM. Key drivers for this division are relative performance in flagship strategies, distribution reach (particularly in wealth channels), and Franklin's ability to defend active fees through differentiated strategies and outcomes versus commoditized exposures.

ETFs - The ETF segment of Franklin Templeton represents the firm's increasingly important growth engine in liquid wrappers, spanning active and index ETFs across equities and fixed income, and serving both retail and wealth platforms. Franklin reported an ETF AUM of $58.0B as of December 31, 2025, up 18.2% year on year. It was supported by $7.5B of net inflows (its 17th consecutive positive quarter), including $3.5B from mutual fund conversions. Notably, Franklin disclosed that active ETF net inflows were $5.5B, contributing roughly 75% of total ETF net inflows in the quarter. This is an important indicator that growth is being driven by higher value active offerings rather than only low fee beta products. This segment's trajectory is driven by shelf placement on major platforms, continued conversions into ETF wrappers, and the broader industry shift toward active ETFs as a preferred vehicle for tax efficiency and liquidity.

ALTERNATIVES

The Alternatives division focuses on non-traditional investment assets besides stocks, bonds, and cash. This solution offers greater portfolio diversification while maintaining low volatility in assets and hedging inflation and economic downturns. At Franklin Templeton, alternative investments focus on assets in private equity, private credit, digital assets, venture capital, real estate, and hedged strategies. Currently, the firm has approximately $276.2 billion in assets under management (AUM), a 10.48% increase since January of 2025.

Franklin Templeton offers its strategies through investment specialists. Clarion Partners specializes in real estate investments, with $1.12 billion under total net assets across private real estate and related securities. Lexington Partners focuses on private markets through secondaries, co-investments and primaries of private equity, making up $1.6 billion under total net assets. Benefit Street Partners concentrates on private credit, exploring investment opportunities across the credit market and accumulating $132.9 million under total net assets. Simultaneously, Franklin Templeton also provides funds and solutions to alternative strategies and digital assets.

Looking ahead, Franklin Templeton intends to further scale its Alternatives platform through targeted acquisitions and strategic partnerships, particularly in private equity and digital assets, positioning the firm to capture growth in higher-margin, alternative investment strategies. The firm looks to focus specifically on infrastructure due to the rise in demand for artificial intelligence, and secondaries to liquidate the current market situation.

MULTI-ASSET SOLUTIONS

The multi-asset segment focuses on outcome and allocation-oriented strategies that package Franklin Templeton's underlying capabilities into portfolio solutions. This could include multi-asset funds, model portfolios, OCIO style solutions, and other allocation mandates. Franklin reported $200.0B in Multi-Asset AUM in 2025. This is up from $174.0B in 2024, reflecting a steady scaling of solutions-oriented demand. In Q4 of 2025, Multi-Asset AUM increased from $193.9B on September 30, 2025, to $200.0B, consistent with the firm's positioning of solutions as a key lever for retaining clients and capturing wallet share across channels. Performance and client outcomes are key in this

segment because flows often follow model adoption and institutional mandate wins. Franklin has also highlighted growth in certain related solutions, such as its Canvas platform and retail SMA growth, as part of broader solutions expansion.

Industry Overview

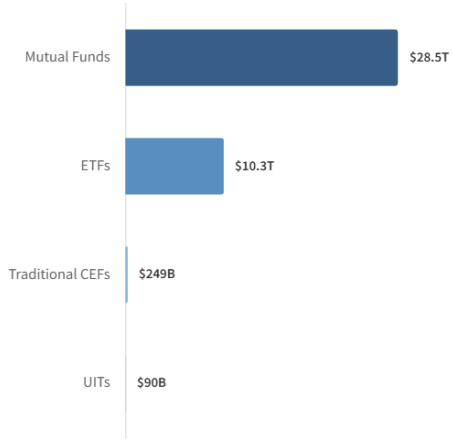
The global asset management industry entered 2026 with strong scale and continued structural change. Global AUM reached a record $128T in 2024 (up 12% year on year), with revenue growth driven largely by markets rather than organic fundamentals. These trends show the industry's sensitivity to beta and the importance of mix, distribution, and operating leverage. In the US, regulated fund complexes, such as mutual funds, ETFs, closed end funds, and UITs, managed $39.2T in total net assets at the end of 2024. So, the US is still a central profit pool for traditional managers even as growth increasingly shifts toward lower fee vehicles and concentrated scale players.

Flows, mix, and fee pressure remain the core competitive battleground. Active strategies still represent large AUM pools, but persistent passive adoption and price competition continue to compress headline fee rates, forcing managers to pursue scale, higher fee specialties (alternatives, active ETFs, solutions), and operating model simplification. In the US, many active large cap managers underperformed their benchmarks in 2024 (65% underperformed the S&P500), which matters because relative performance is one of the few durable differentiators in commoditizing asset classes.

ETFs and passive remain key share gainers, but being active in an ETF wrapper is a notable growth pocket. Recent US fund flow analysis points to a renewed wave of inflows during 2025, driven disproportionately by passive, while also showing that active continues to face outflows in many traditional categories. At the same time, ETF adoption continues to broaden beyond core index beta. Morningstar highlights record setting ETF flow dynamics in 2025 (including very large concentration of flows into top issuers and flagship products), signaling that distribution advantage and shelf space are increasingly decisive.

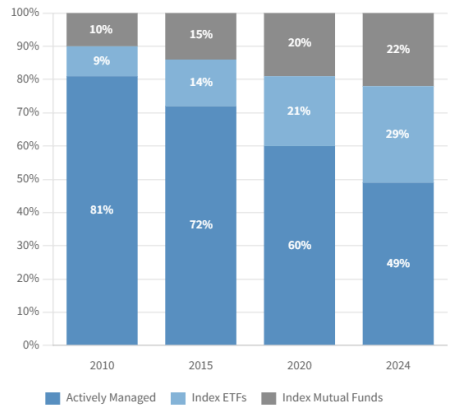
Solutions and model driven allocation are rising as sort of a 'wallet share' strategy. Rather than selling single products, many managers are competing to be the portfolio constructor via multi-asset funds, model portfolios, OCIO, and outcome-oriented

Exhibit 01: US Investment Company Assts by Type (Year-End 2024)



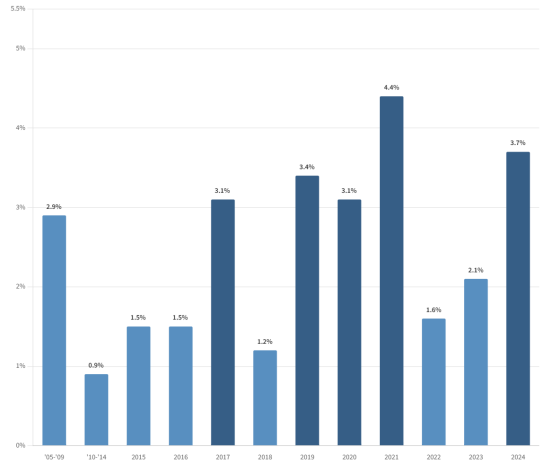
Source(s): Company Filings, VIG Research

Exhibit 02: Index Funds have Grown as a Share of the Fund Market



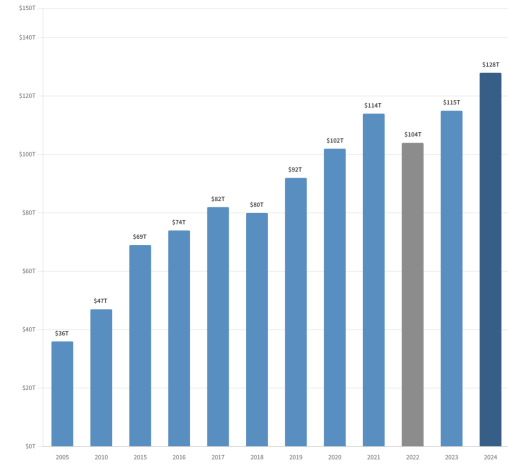
Source(s): Company Filings, VIG Research

Exhibit 03: Net Flows as a Share of Beginning-Of-Year AUM (%)



Source(s): Company Filings, VIG Research

Exhibit 04: Global AUM Grew by 12% in 2024 to $128 Trillion



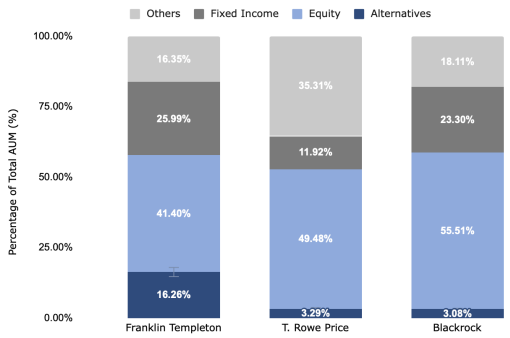
Source(s): Company Filings, VIG Research

Alternatives are increasingly positioned as the structural growth engine, but fundraising remains cyclical. Large managers continue to allocate capital and M&A toward private credit, real assets, and private equity capabilities given longer duration capital, potentially higher fee rates, and demand from institutions and wealth for differentiated return streams. However, even as the strategic rationale is strong, private market fundraising and realizations remain sensitive to macro conditions and liquidity constraints. This is making quarter to quarter growth more uneven than in daily liquidity categories.

INDUSTRY POSITIVES

Strong differentiation in alternative investments - Franklin Templeton's alternatives division is a major contributor to the growing alternatives market, accounting for 16.24% of the company's investment portfolio. The firm emphasizes heavily on alternative investments, weighing it heavier when compared to competing firms (Exhibit 5). The decision to slowly alternate from traditional assets came from increasing investor demand for non-correlated assets in an inflationary market, prompting a larger reduction in portfolio volatility and inflation hedging. This also allows Franklin Templeton to capitalize on huge marginal upsides through exponentially growing markets like private equity, real estate, and private credit, indicated by its 8.28% alternatives AUM growth compared to competitor's 0.43%. More specifically, as the private equity market is expected to grow by a CAGR of 13.2% (Exhibit 2), Franklin Templeton will be one of many firms ready to capitalize, with over $1.83 billion in total net assets.

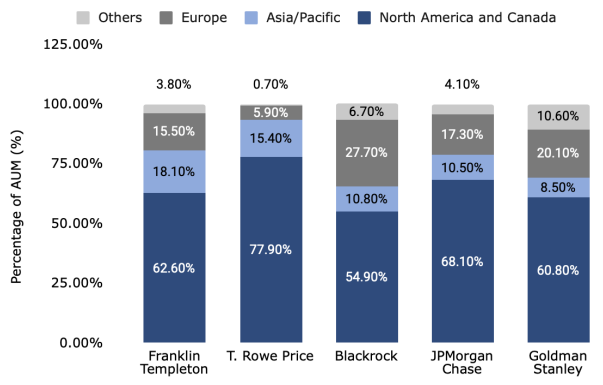
Exhibit 05: Franklin Templeton's AUM Components Compared to Competing Firms



Source(s): Company Filings, VIG Research

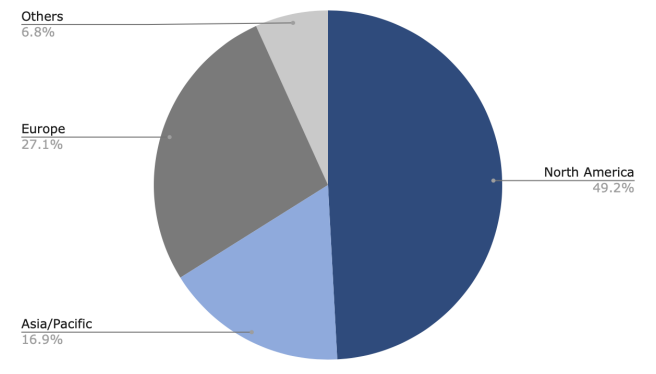
Global-oriented growth and active asset management style - Over the past 5 years, Franklin Templeton has strengthened its global presence outside North America through strong M&A. Compared to competitors, the firm indicates a balanced focus between prioritizing North American assets and expanding into international markets (Exhibit 6). Noticeably, the acquisitions of Alcentra in 2022 and Apera Asset Management in 2025 were made to enhance the firm's European alternatives presence by operating distinctly as its own unit while under the ownership of Franklin Resources. This operational model highlights Franklin Templeton's strategic planning to not only invest but also control international markets, as the company currently outperforms larger-AUM firms with 56 active subsidiary investments, 27.1% in Europe and 16.9% in the Asia Pacific region. By opting for subsidiary assets rather than traditional ETFs and stocks, Franklin Templeton has direct control of operations abroad, while also strengthening its ecosystem of investment firms and enabling value creation and alpha generation within firms. As non-North American regions continue to amplify growth, Franklin Templeton is positioned to capture and dominate these markets, creating exponential value in the long-term.

Exhibit 06: Franklin Templeton's Geographic Presence Compared to Competitors



Source(s): Company Filings, VIG Research

Exhibit 07: Franklin Templeton's Current Operating Subsidiary and Projects by Region



Source(s): Company Filings, VIG Research

POTENTIAL DOWNSIDES AND MITIGATIONS

Market Volatility - Franklin Templeton faces several risks due to potential volatility and fluctuations of the global financial markets. Franklin Templeton has a large dependence on assets under management as its primary revenue stream, which means economic slowdowns or disturbances in the market could have negative impacts on asset values, affecting fee revenues and operating results. Franklin Templeton's global scale, diversified investment strategies, and broad client base across institutional and retail channels help reduce reliance on any single market segment and provide stability during periods of market volatility.

Operational and Technological Risks - Franklin Templeton faces operational and execution risks since the firm relies on complex technological systems and third-party service providers, increasing the chances of technological malfunctions or cybersecurity incidents. The firm continuously invests in cybersecurity systems, operational controls, and technology infrastructure to maintain platform reliability and mitigate disruptions associated with technological failures or external threats.

Acquisition and Integration - Franklin Templeton's acquisitions and strategic investments could cause integration and synergistic challenges within the firm, negatively impacting financial performance or the company's culture. Franklin Templeton has experience integrating asset managers and investment platforms, allowing the firm to leverage operational efficiencies, expand product offerings, and enhance long-term growth potential from strategic acquisitions.

Key Projects, Contracts, and Partnerships

KEY PROJECTS

Franklin Innovation Fund - One of Franklin Templeton's core strategic innovation initiatives are the Franklin Innovation Fund, which focuses on identifying and investing in companies leveraging breakthrough technologies. The firm allocates capital across five major platforms: global e-commerce, genomic advances, AI and robotics, new finance and fintech, and exponential data. Franklin Templeton is leveraging its Silicon Valley presence and global research network to identify emerging trends early, while simultaneously integrating AI and data analytics into its investment processes.

Core Enhanced Equity Funds - In October of 2025, Franklin Templeton released its new innovative Core Enhanced Equity Funds in Luxembourg to European investors. These funds use quantitative, multi-factor investment models to analyze factors such as quality, value, sentiment, and alternative data, while also including proprietary insights from their research teams. This strategy is aimed to consistently outperform the market and while maintaining a low tracking error, making it a cost effective and low risk investment option.

Putnam US Research Fund - In April of 2025, Franklin Templeton released its FTGF Putnam US Research Fund in London to European and UK investors. The fund leverages Putnam Investments' longstanding expertise in equity research and uses sector specialists to manage concentrated portfolios. Combined with a dedicated risk management overlay designed to neutralize unintended sector, industry, and factor exposures, the fund ensures risk adjusted returns and with controlled tracking error. Through this, Franklin Templeton offers a hybrid model that integrates fundamental research with systematic risk controls while also aligning with ESG considerations and broadening global investors' access.

CONTRACTS AND PARTNERSHIPS

Infrastructure - Franklin Templeton's infrastructure portfolio relies heavily on its partnerships with DigitalBridge, Copenhagen Infrastructure Partners, and Actis. Through it, the company can provide private wealth clients with infrastructure opportunities focused on energy security, electrification, and digitalization. The partnership enables international and intermarket connections, with DigitalBridge focusing on UK digital infrastructure, Actic on Asian and European sustainable infrastructure, and Copenhagen Infrastructure Partners on Danish wind power.

Digital Assets & Blockchain - As the global financial market transitions slowly from traditional assets to diversify its portfolios, Franklin Templeton positions itself at the center with strong contracts and partnerships with Finstreet Limited, ADI DLT Foundation, Binance, DBS Group, and Ripple. The company can diversify its assets through tokenization, cryptocurrency, and blockchain banking, improving liquidity and efficiency in capital markets while providing a bridge between traditional finance and crypto markets for investors. Product development in tokenized securities, blockchain-based financial infrastructure, and crypto banking helps Franklin Templeton dominate the current digital finance investment market.

AI Transformation - Franklin Templeton commits itself to leading the market in technological developments, and AI development is no exception. The company's long-term contract with Wand AI helps deploy AI agents across various firm operations, utilizing machine learning to increase efficiency and decision-making performance. With full enterprise deployment, Franklin Templeton can 'identify and resolve gaps in AI-driven workflows,' leading to real-time creation and better complex handling.

Global Wealth and Distribution - Key partnerships with Power Corporation of Canada, Great-West Lifeco, and Ajman Bank has enabled Franklin Templeton to expand its assets and investment presence, including the notable acquisition of Putnam Investments. With roughly $25 billion in long-term asset allocation and a strong distribution of Shariah-compliant funds, the company strengthens its retirement and insurance asset management while maintaining a strong presence in the Middle East wealth markets.

As of 2026, Franklin Templeton has 14 specialized investment partners, some consisting of multiple corporations in collaboration under one Franklin Investment umbrella.

Valuation

DCF MODEL AND ASSUMPTIONS

Our base case valuation of Franklin Templeton implies a $32.85/share based on our discounted cash flow valuation, with a 40/60 split weighting on Gordon's Growth and the Exit Multiple. This implies a 40% upside to the current share price. Our DCF valuation method considers Franklin Templeton's equity-heavy business model, emphasize on the high-potential growth of alternative investments, and reflect the company's strong M&A operations. The WACC of 8.47% reflects Franklin Templeton's maturity and moderate risk structure, while the TGR of 2% show the baseline market growth. Alongside this, we also conducted our conservative and optimistic cases to account for market fluctuations, with WACC fluctuations at 1.25% and TGR at 0.5%.

Our conservative case estimates the implied share price at $24.30/share, a result of market fluctuations and additional costs and expenditures. The share price indicates a 3% upside, demonstrating Franklin Templeton's growth-oriented positioning despite economic headwinds and barriers.

Our optimistic case estimates the implied share price of $39.83/share, a result of unexpected market growth and revenue growth. The share price indicates a 70% upside, set to outperform the financial services market compared to competitors like Goldman Sachs, BlackRock, and T. Rowe Price.

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Exhibit 08: BEN Corporation Discounted Cash Flow

DCF	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Revenue	8,425.50	8,275.30	7,849.40	8,478.00	8,770.70	$8,870.06	$8,978.23	$9,095.52	$9,222.22	$9,358.68	$9,505.27	$9,662.41	$9,830.52	$10,010.08	$10,201.60	$10,405.64
% Growth		*(1.78%)*	*(5.15%)*	*8.01%*	*3.45%*	*1.13%*	*1.22%*	*1.31%*	*1.39%*	*1.48%*	*1.57%*	*1.65%*	*1.74%*	*1.83%*	*1.91%*	*2.00%*
COGS	4,861.00	4,755.80	4,709.30	5,257.30	5,490.30	$5,317.93	$5,382.79	$5,453.10	$5,529.06	$5,610.88	$5,698.77	$5,792.98	$5,893.76	$6,001.42	$6,116.24	$6,238.57
% Revenue	*57.69%*	*57.47%*	*60.00%*	*62.01%*	*62.60%*	*59.95%*	*59.95%*	*59.95%*	*59.95%*	*59.95%*	*59.95%*	*59.95%*	*59.95%*	*59.95%*	*59.95%*	*59.95%*
SG&A	1,237.30	1,284.00	1,298.90	1,648.80	1,704.40	$1,519.08	$1,537.61	$1,557.70	$1,579.39	$1,602.76	$1,627.87	$1,654.78	$1,683.57	$1,714.32	$1,747.12	$1,782.07
% Revenue	*14.69%*	*15.52%*	*16.55%*	*19.45%*	*19.43%*	*17.13%*	*17.13%*	*17.13%*	*17.13%*	*17.13%*	*17.13%*	*17.13%*	*17.13%*	*17.13%*	*17.13%*	*17.13%*
EBIT	$2,327.20	$2,235.50	$1,841.20	$1,571.90	$1,576.00	$2,033.04	$2,057.84	$2,084.72	$2,113.76	$2,145.04	$2,178.64	$2,214.65	$2,253.18	$2,294.34	$2,338.24	$2,385.00
Taxes	$349.60	$396.20	$312.30	$215.30	$237.90	$319.18	$323.08	$327.30	$331.86	$336.77	$342.04	$347.70	$353.75	$360.21	$367.10	$374.44
% of EBIT	*15%*	*18%*	*17%*	*14%*	*15%*	*15.70%*	*15.70%*	*15.70%*	*15.70%*	*15.70%*	*15.70%*	*15.70%*	*15.70%*	*15.70%*	*15.70%*	*15.70%*
EBIAT	$1,977.60	$1,839.30	$1,528.90	$1,356.60	$1,338.10	$1,713.86	$1,734.76	$1,757.42	$1,781.90	$1,808.27	$1,836.59	$1,866.96	$1,899.44	$1,934.13	$1,971.14	$2,010.56
D&A	$310.60	$377.80	$445.40	$454.70	$531.80	$476.17	$481.98	$488.27	$495.07	$502.40	$510.27	$518.71	$527.73	$537.37	$547.65	$558.60
% EBIT	*13%*	*17%*	*24%*	*29%*	*34%*	*23%*	*23%*	*23%*	*23%*	*23%*	*23%*	*23%*	*23%*	*23%*	*23%*	*23%*
CapEx	$ (79.30)	$ (90.30)	$ (148.80)	$ (177.10)	$ (154.50)	$ (199.31)	$ (201.74)	$ (204.37)	$ (207.22)	$ (210.28)	$ (213.58)	$ (217.11)	$ (220.89)	$ (224.92)	$ (229.22)	$ (233.81)
% EBIT	*(3.41%)*	*(4.04%)*	*(8.08%)*	*(11.27%)*	*(9.80%)*	*(9.80%)*	*(9.80%)*	*(9.80%)*	*(9.80%)*	*(9.80%)*	*(9.80%)*	*(9.80%)*	*(9.80%)*	*(9.80%)*	*(9.80%)*	*(9.80%)*
Change in NWC		1,859.50	1,230.20	827.40	246.60	$1,109.43	$1,122.96	$1,137.63	$1,153.48	$1,170.54	$1,188.88	$1,208.53	$1,229.56	$1,252.02	$1,275.97	$1,301.49
% EBIT		*83.18%*	*66.82%*	*52.64%*	*15.65%*	*54.57%*	*54.57%*	*54.57%*	*54.57%*	*54.57%*	*54.57%*	*54.57%*	*54.57%*	*54.57%*	*54.57%*	*54.57%*
UFCF		$ 1,077.20	$ 1,295.70	$ 1,741.80	$ 914.97	$ 881.29	$ 892.04	$ 903.69	$ 916.28	$ 929.84	$ 944.41	$ 960.02	$ 976.72	$ 994.56	$ 1,013.59	$ 1,033.86

Source(s): FactSet, Capital IQ, VIG Research

Exhibit 09: Gordon Growth

Gordon Growth	
Terminal Value	$ 16,292.02
PV TV	$ 6,659.61
Enterprise Value	$ 13,202.22
Imp. Market Cap	$ 12,335.72
Imp Share Value	$ 23.69

Source(s): FactSet, Capital IQ, VIG Research

Exhibit 10: WACC Exit Multiple

Exit Multiple	
Projected EV/EBITDA	3.09x
Terminal Value	$32,175.91
PV TV	$14,266.75
Enterprise Value	$20,809.36
Imp. Market Cap	$20,288.56
Imp Share Value	$38.96

Source(s): FactSet, Capital IQ, VIG Research

Exhibit 11: WACC Build-Up

Exit Multiple	
Equity Proportion	75%
Debt Proportion	25%
Tax Rate	28%
MRR	10%
Beta	1.06
Risk Free Rate	4.39%
Cost of Debt	4.02%
ERP	5.61%
Cost of Equity	10.34%
WACC	8.47%

Source(s): FactSet, Capital IQ, VIG Research

Exhibit 12: Sensitivity Analysis, Target Price on WACC & Terminal Growth Rate

Sensitivities

		WACC									
	$23.69	6.50%	7.00%	7.50%	8.00%	8.50%	9.00%	9.50%	10.00%	10.50%
	1.00%	$ 29.25	$ 26.68	$ 24.49	$ 22.62	$ 21.00	$ 19.58	$ 18.33	$ 17.22	$ 16.23
	1.25%	$ 30.43	$ 27.64	$ 25.30	$ 23.30	$ 21.58	$ 20.08	$ 18.77	$ 17.60	$ 16.56
	1.50%	$ 31.72	$ 28.69	$ 26.17	$ 24.03	$ 22.20	$ 20.61	$ 19.23	$ 18.00	$ 16.91
	1.75%	$ 33.14	$ 29.84	$ 27.11	$ 24.82	$ 22.87	$ 21.18	$ 19.71	$ 18.43	$ 17.28
TGR	2.00%	$ 34.73	$ 31.10	$ 28.14	$ 25.67	$ 23.58	$ 21.79	$ 20.24	$ 18.88	$ 17.68
	2.25%	$ 36.49	$ 32.50	$ 29.27	$ 26.60	$ 24.35	$ 22.44	$ 20.79	$ 19.35	$ 18.09
	2.50%	$ 38.48	$ 34.05	$ 30.51	$ 27.60	$ 25.19	$ 23.14	$ 21.39	$ 19.87	$ 18.53
	2.75%	$ 40.73	$ 35.78	$ 31.87	$ 28.71	$ 26.09	$ 23.90	$ 22.02	$ 20.41	$ 19.00
	3.00%	$ 43.30	$ 37.73	$ 33.39	$ 29.92	$ 27.08	$ 24.71	$ 22.71	$ 20.99	$ 19.50

Source(s): FactSet, Capital IQ, VIG Research

Exhibit 13: Historical Comps

Company	Ticker	Price	Market Cap	Dividend Yield	BVPS 2026E	BVPS 2027E	P/BV 2026E	P/BV 2027E	EPS 2026E	EPS 2027E	P/E 2026E	P/E 2027E
Blackrock	BLK-US	$966.30	$148.99	2.39%	$323.30	$345.30	2.99x	2.80x	$54.96	$62.43	17.58x	15.48x
T. Rowe Price	TROW-US	$86.19	$22.55	6.03%	$46.32	$48.94	1.86x	1.76x	$10.29	$10.41	8.38x	8.28x
Invesco	IVZ-US	$23.21	$10.30	3.62%	$30.34	$33.52	0.76x	0.69x	$2.71	$3.07	8.56x	7.56x
Apollo Global Management	APO-US	$112.00	$64.76	1.82%	$56.65	$65.29	1.98x	1.72x	$9.33	$11.00	12.00x	10.18x
KKR & Co.	KKR-US	$90.00	$80.24	0.82%	$53.97	$60.60	1.67x	1.49x	$6.59	$7.97	13.66x	11.29x
Asset & Wealth Management Mean	-	-	-	-	-	-	**1.85x**	**1.69x**	-	-	**12.04x**	**10.56x**
Asset & Wealth Management Median	-	-	-	-	-	-	**1.86x**	**1.72x**	-	-	**12.00x**	**10.18x**
Franklin Templeton	**BEN-US**	**$23.46**	**$12.22**	**5.63%**	**$22.54**	**$24.30**	**1.04x**	**0.97x**	**$2.66**	**$2.94**	**8.82x**	**7.98x**

Source(s): FactSet, Capital IQ, VIG Research

Management Team & Executive Compensation

MANAGEMENT

Jennifer M. Johnson, Chief Executive Officer - Jenny Johnson is the Chief Executive Officer of Franklin Templeton. Onboarded since February of 2020 after overseeing major business operations, she currently controls and oversees the firm's $1.6 trillion in assets. Beyond her role at Franklin Templeton, Ms. Johnson serves on the board of directors of Thermo Fisher Scientific and Investment Company Institute's Board of Governors, member of the International Advisor Panel of the Monetary Authority of Singapore, and the Memorial Sloan Kettering Cancer Foundation and Catalyst, just to name a few.

Gregory E. Johnson, Executive Chairman and Chairman of the Board - Greg Johnson is the Executive Chairman and Chairman of the Board for Franklin Templeton, after transitioning from CEO in 2020. In his role, Mr. Johnson leads the board of directors while still a part of Franklin Templeton, maintaining investor interests while also ensuring company operations are on par. He is also the Chairman of the Board of Directors and Control Person of the San Francisco Giants.

Matthew Nicholls, Co-President, Chief Operating Officer, and Chief Financial Officer - Matthew Nichols is the Co-President, Chief Financial Officer and Chief Operating Officer at Franklin Templeton. He is responsible for the firm's finance, operations & technology, corporate development, M&A, risk, human resources, real estate, communications, and investor relations, one of the many important personnel on the executive team. Alongside this, Mr. Nichols works alongside Daniel Gamba and Terrence Murphy as Co-Presidents, overseeing long-term strategic plans. Prior to joining Franklin Templeton, Mr. Nichols was previously with Citigroup for over 24 years.

Rupert H. Johnson, Jr, Vice Chairman - Rupert Johnson Jr. is the Vice Chairman of Franklin Templeton. Known for being the son of founder Rupert Johnson Sr., he serves on the board of directors and aids Franklin Templeton in protecting investors' interests. Beyond his role, Mr. Johnson Jr. funds his foundation supporting grantmaking for education and the arts.

Daniel Gamba, Co-President and Chief Commercial Officer - Daniel Gamba is the Co-President and Chief Commercial Officer at Franklin Templeton. He oversees global sales, marketing and product strategy, while working with Matthew Nichols and Terrence Murphy as Co-President to oversee long-term strategic plans for the company.

Terrence J. Murphy, Co-President and Head of Public Market Investments - Terrence Murphy is the Head of Public Market Investments at Franklin Templeton. He oversees the firm's global public markets platforms and active investment strategies across multiple portfolios, while working with Matthew Nichols and Daniel Gamba as Co-President to oversee long-term strategic plans for the company.

COMPENSATION

Executive compensation at Franklin Templeton consists of a base salary and an annual incentive award. The incentive awards are based on a combination of company, fund, and individual performance. Franklin Templeton has a Compensation Committee, of which oversees these compensation packages and preserve the firm's investment interest while considering investment performance, strategic initiatives, and individual achievements.

Base Salaries – The base salary is an annual fixed cash compensation providing Named Executive Officers (NEOs) with predictable levels of income. For 2025, the annual base salaries were: $750,000 for CEO, $600,000 for chairman and vice-chairman, and $500,000 for other executives.

Annual Incentive Award – The Annual Incentive Awards are where NEOs earn majority of their actual compensation, as a way for Franklin Templeton to reward those that helped grow the firm over the past fiscal year. The awards are divided into two components, cash and deferred.

Exhibit 14: Franklin Templeton Executive Compensation – 2025 Fiscal Year

Name	Base Salary	Total Incentive Award	Incentive Cash Component	Incentive Deferred Component	Performance Award	Total Annual Compensation	% change in Total Compensation vs. 2024
Jennifer M. Johnson	$ 750,000	$ 13,850,000	$ 6,925,000	$ 6,925,000	$ 3,500,000	$ 18,100,000	20.3%
Matthew Nicholls	$ 600,000	$ 7,400,000	$ 4,910,000	$ 2,490,000	$ 2,000,000	$ 10,000,000	7.5%
Gregory E. Johnson	$ 600,000	$ 1,900,000	$ 1,335,000	$ 565,000	$ 500,000	$ 3,000,000	0.0%
Terrence J. Murphy	$ 500,000	$ 12,350,000	$ 8,127,500	$ 4,222,500	$ 500,000	$ 13,350,000	(11.1%)

Source(s): Company Disclosure, VIG Research

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Perform (MP3): Expected to perform generally in line with the respective sector over the next 12 months. Underperform (MU4): Expected to underperform the respective sector over the next six to 12 months and should be sold. Suspended (S): The rating and price target have been temporarily suspended. This may be due to market events that have made coverage impractical, or to comply with applicable regulations or firm policies in certain circumstances. The previous rating and price target are no longer effective and should not be relied upon.

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Franklin Templeton faces several risks due to potential volatility and fluctuations of the global financial markets. Franklin Templeton has a large dependence on assets under management as its primary revenue stream, which means economic slowdowns or disturbances in the market could have negative impacts on asset values, affecting fee revenues and operating results. The firm's global footprint may also expose it to regulatory risks through changes in laws related to investment management or data privacy, which could increase costs. Franklin Templeton also faces operational and execution risks since the firm relies on complex technological systems and third-party service providers, increasing the chances of technological malfunctions or cybersecurity incidents. Lastly, acquisitions and strategic investments could cause integration and synergistic challenges within the firm, negatively impacting financial performance or the company's culture. Franklin Templeton must effectively maintain these risks to continue to generate profit, protect its competitive position, and support long-term shareholder value.